



Capital
Markets

May 14, 2026

HSBC Holdings plc

Model update

Our view: We update our estimates following HSBC's Q1'26 results, increasing our PT to 1,275p (prev 1,200p) and reiterating our Sector Perform rating.

Key points:

Changes to our estimates

Our FY27E adj PBT increases by 6% driven by higher banking NII (higher rates) and other income (Wealth) partially offset by higher operating expenses (FX). On a divisional basis, the increase was driven by CIB (positive impact from the post Q4'25 restatement and higher banking NII), IWPB (banking NII & fees) and Hong Kong (fees and banking NII, partly offset by negative impact from the restatement). The lower UK contribution is explained by lower NIM expansion and the negative impact from the restatement.

RBCe vs guidance

We model banking NII of \$46.5bn/\$48.5bn/\$49.8bn in FY26E/27E/28E, respectively (guidance FY26 c.\$46bn). For costs, we model underlying growth of 0.9%/2.0%/1.7% in FY26E/27E/FY28E, respectively (guidance FY26 c.1%).

We model cost of risk of 45bps in FY26 (guidance c.45bps), coming down to 38bps in FY27-28E, towards the top end of management's through-the-cycle 30-40bps target range. This leads us to an ROTE ex notable items estimate of 18.3%/19.0%/19.4% in FY26E/27E/28E, which compares to management's guidance of "17% or better" in FY26-28E.

We model total shareholder returns for FY25E-FY27E of \$74bn (dividends \$48bn; buybacks \$26bn), equating to a 3yr average total shareholder return yield of c.8.3% (dividend 5.4%; buybacks 2.9%).

RBC Europe Limited

Benjamin Toms, ACA (Analyst)

+44 20 7002 2258, benjamin.toms@rbccm.com

Pablo de la Torre Cuevas (Analyst)

+44 20 7653 4553, pablo.delatorrecuevas@rbccm.com

Sherry Lin (Associate)

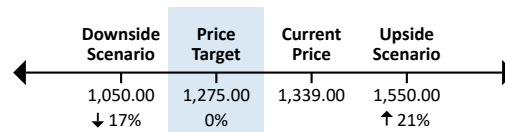
+44 20 7653 4002, sherry.lin@rbccm.com

Sector Perform

LSE: HSBA; GBp 1,339.00

Price Target GBp 1,275 ↑ 1,200

Scenario Analysis*



*Implied Total Returns

Key Statistics

Shares O/S (MM):	17,258.0	Market Cap (MM):	231,085
Dividend:	0.87	Yield:	4.8%
		Avg. Daily Volume:	16,138,120

Market Cap in GBP

RBC Estimates

FY Dec	2025A	2026E	2027E	2028E
EPS, Adj Diluted	1.58	1.72	1.95	2.15
Prev.		1.69	1.83	2.02
P/AEPS	11.4x	10.5x	9.3x	8.4x
ROTE, Adj	17.4%	18.3%	19.0%	19.4%
Prev.		17.6%	17.7%	18.2%
TBVPS	9.48	9.73	10.54	11.42
Prev.		9.88	10.57	11.38
P/TBVPS	1.9x	1.9x	1.7x	1.6x
DPS	0.75	0.87	0.98	1.08
Prev.		0.85	0.92	1.01
Div Yield	4.1%	4.8%	5.4%	5.9%
CET1 Ratio	14.9%	14.0%	14.1%	14.3%
Prev.		14.1%		14.2%

ROTE, Adj: ROTE inc AT1

CET1 Ratio: IFRS9 phased-in

EPS, Adj Diluted: inc AT1

DPS: Ordinary dividends only

All market data in GBp; all financial data in USD.

Priced as of prior trading day's market close, EST (unless otherwise noted).



Q1'26 results vs consensus

Exhibit 1 - HSBC - Q1'26 results vs consensus

P&L (Reported, US\$m)	Q1 25	Q4 25	Q1 26	Q/Q	Y/Y	Consensus	
						Q1 26	Q1 v Cons
Banking Nil	10,599	11,722	11,253	(4%)	6%	11,276	(0%)
Fee and other income	7,050	4,642	7,371	59%	5%	7,209	2%
Total revenue	17,649	16,364	18,624	14%	6%	18,485	1%
Change in ECL and other impairments	(876)	(901)	(1,301)	44%	49%	(1,194)	9%
Total operating expenses	(8,102)	(9,330)	(8,721)	(7%)	8%	(8,426)	4%
Profit in associates and JVs net of impairment	813	669	774	16%	(5%)	723	7%
Profit/(loss) before tax	9,484	6,802	9,376	38%	(1%)	9,588	(2%)
Taxation	(1,914)	(1,615)	(1,982)	23%	4%	(2,030)	(2%)
Profit/(loss) after tax	7,570	5,187	7,394	43%	(2%)	7,558	(2%)
NCI & AT1	(638)	(468)	(456)	(3%)	(29%)	(493)	(8%)
Profit/(loss) attribut. to ord. shareholders	6,932	4,719	6,938	47%	0%	7,065	(2%)
P&L (Notable items, US\$m)	Q1 25	Q4 25	Q1 26	Q/Q	Y/Y	Q1 26	Q1 v Cons
Banking Nil	0	0	0	n/a	n/a	0	n/a
Fee and other income	(91)	(1,359)	(501)	(63%)	451%	(197)	154%
Total revenue	(91)	(1,359)	(501)	(63%)	451%	(197)	154%
Change in ECL and other impairments	0	0	0	n/a	n/a	0	n/a
Total operating expenses	(191)	(425)	(178)	(58%)	(7%)	(247)	(28%)
Profit in associates and JVs net of impairment	0	0	0	n/a	n/a	0	n/a
Profit/(loss) before tax	(282)	(1,784)	(679)	(62%)	141%	(444)	53%
P&L (Adjusted, US\$m)	Q1 25	Q4 25	Q1 26	Q/Q	Y/Y	Q1 26	Q1 v Cons
Banking Nil	10,599	11,722	11,253	(4%)	6%	11,276	(0%)
Fee and other income	7,141	6,001	7,872	31%	10%	7,406	6%
Total revenue	17,740	17,723	19,125	8%	8%	18,682	2%
Change in ECL and other impairments	(876)	(901)	(1,301)	44%	49%	(1,194)	9%
Total operating expenses	(7,911)	(8,905)	(8,543)	(4%)	8%	(8,179)	4%
Profit in associates and JVs net of impairment	813	669	774	16%	(5%)	723	7%
Profit/(loss) before tax	9,766	8,586	10,055	17%	3%	10,032	0%
TBVps (US\$)	9.08	9.64	9.46	(2%)	4%	9.42	0%
CET1 Ratio	14.7%	14.9%	14.0%	-90bps	-71bps	14.0%	0bps
Total DPS (US\$)	0.10	0.45	0.10	(78%)	0%	0.10	0%
Loans & advances to customers (net, US\$bn)	945	988	1,002	1%	6%	995	1%
NIM	1.59%	1.64%	1.60%	-4bps	1bps	1.64%	-4bps
Average Interest Earning Assets (US\$bn)	2,124	2,221	2,261	2%	6%	2,245	1%
Cost-to-income ratio (Adjusted)	44.6%	50.2%	44.7%	-558bps	8bps	43.8%	89bps
Cost of risk	0.37%	0.36%	0.52%	16bps	15bps	0.48%	4bps

Source: Company data, pre Q1'26 company-compiled consensus, Visible Alpha, RBC Capital Markets.



Changes to our estimates

Exhibit 2 - We increase our PT to 1,275p (prev 1,200p) and reiterate our Sector Perform rating

	Before			After			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
HSBC P&L (adj, \$m)									
Banking NII	45,499	46,524	48,048	46,494	48,459	49,793	2%	4%	4%
Total revenue	73,429	75,968	79,218	74,837	78,716	82,188	2%	4%	4%
Change in ECL and other impairments	-4,086	-4,046	-4,077	-4,525	-4,011	-4,112	11%	(1%)	1%
Net operating income	69,342	71,922	75,142	70,313	74,705	78,076	1%	4%	4%
Total operating expenses	-33,949	-34,572	-35,168	-34,337	-35,019	-35,617	1%	1%	1%
Operating profit	35,393	37,351	39,973	35,976	39,686	42,459	2%	6%	6%
Profit in associates and JVs net of impairment	2,681	2,735	2,790	2,822	2,879	2,937	5%	5%	5%
Profit/(loss) before tax	38,074	40,086	42,763	38,798	42,565	45,396	2%	6%	6%
Taxation	-7,786	-8,198	-8,745	-7,860	-8,705	-9,284	1%	6%	6%
Profit/(loss) after tax	30,288	31,888	34,018	30,938	33,861	36,113	2%	6%	6%
Non-controlling interest	-106	-112	-119	-129	-119	-126	22%	6%	6%
Preferred shareholders	0	0	0	0	0	0	n/m	n/m	n/m
Net attributable profit/(loss) inc AT1	28,986	30,591	32,724	29,530	32,479	34,734	2%	6%	6%
Banking NIM (% avg total assets)	1.39	1.39	1.41	1.41	1.42	1.43	2bps	3bps	2bps
Loan growth %	4.0	3.8	3.6	5.0	3.8	3.4	0.98	0.02	(0.26)
Cost income ratio (adj) %	46.2	45.5	44.4	45.9	44.5	43.3	(0.35)	(1.02)	(1.06)
Cost of risk %	0.41	0.39	0.38	0.45	0.38	0.38	0.04	(0.01)	0.00
EPS (adj inc AT1)	1.69	1.83	2.02	1.72	1.95	2.15	2%	6%	6%
EPS (rep inc AT1)	1.61	1.80	1.99	1.64	1.94	2.12	1%	8%	6%
Ordinary DPS	0.85	0.92	1.01	0.87	0.98	1.08	2%	6%	6%
Special DPS	0.00	0.00	0.00	0.00	0.00	0.00	n/m	n/m	n/m
Buyback (\$m)	7,000	9,500	9,500	7,000	9,500	9,500	0%	0%	0%
Total Return ps	1.26	1.49	1.60	1.28	1.55	1.67	1%	4%	4%
TBVps	9.88	10.57	11.38	9.73	10.54	11.42	(2%)	(0%)	0%
ROTE (adj inc AT1) %	17.6	17.7	18.2	18.3	19.0	19.4	0.7	1.3	1.1
Core tier 1 ratio %	14.1	14.1	14.2	14.0	14.1	14.3	(0.1)	0.0	0.1
Valuation per share		1,200			1,275			6%	
Divisional PBT (adj, \$m)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Hong Kong	10,294	11,269	12,365	10,254	11,850	13,067	(0%)	5%	6%
UK	7,650	8,174	8,484	6,907	7,463	7,793	(10%)	(9%)	(8%)
CIB	12,450	12,522	13,107	13,006	13,945	14,478	4%	11%	10%
IWPB	4,705	5,130	5,808	5,336	5,966	6,664	13%	16%	15%
Corporate Centre	2,976	2,991	2,999	3,284	3,342	3,394	10%	12%	13%
Group									

Source: RBC Capital Markets estimates

RBCe vs guidance

Exhibit 3 - HSBC - RBCe vs guidance

HSBC Group - Guidance (as of Q1'26)	2026	2027	2028	2026	2027	2028
Banking NII	c.\$46bn			46.5	48.5	49.8
Fee and other income	c.\$0.7bn negative impact	c.\$0.5bn positive impact				
Revenue (ex notable items)	Rising to 5% y/y growth by 2028			5.4%	5.2%	4.4%
Costs (target basis)	c.1% growth y/y		5% y/y growth	0.9%	2.0%	1.7%
Costs (target basis)	c.\$34.3bn			34.3	35.0	35.6
Restructuring charges ex Hang Seng	c.\$0.8bn			(0.8)	(0.3)	(0.3)
Restructuring charges - Hang Seng	c.\$0.6bn FY26-28 (material notable item)			(0.2)	(0.2)	(0.2)
COR	c.45bps			0.45%	0.38%	0.38%
ROTE (ex notable items)	17% or better each year			18.3%	19.0%	19.4%
CET1 Ratio	14-14.5% target range			14.0%	14.1%	14.3%
Dividend payout	50% of EPS ex material notable items and related impacts			50%	50%	50%

Source: Company guidance, RBC Capital Markets estimates



RBCe vs consensus

Exhibit 4 - HSBC - RBCe vs consensus

Group - RBC vs consensus				RBCe			Company Consensus (23/04/26)			Difference		
P&L (Reported, US\$m)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Banking Nil	46,494	48,459	49,793				45,826	47,151	48,611	1%	3%	2%
Fee and other income	27,642	30,533	32,220				27,456	29,668	31,603	1%	3%	2%
Total revenue	74,136	78,991	82,013				73,282	76,819	80,214	1%	3%	2%
Change in ECL and other impairments	(4,525)	(4,011)	(4,112)				(4,223)	(3,967)	(4,030)	7%	1%	2%
Total operating expenses	(35,320)	(35,546)	(36,144)				(35,100)	(35,312)	(36,248)	1%	1%	(0%)
Profit in associates and JVs net of impairment	2,822	2,879	2,937				2,734	2,818	2,886	3%	2%	2%
Profit/(loss) before tax	37,114	42,313	44,694				36,693	40,358	42,822	1%	5%	4%
Taxation	(7,654)	(8,653)	(9,140)				(7,877)	(8,628)	(9,146)	(3%)	0%	(0%)
Profit/(loss) after tax	29,459	33,660	35,554				28,816	31,730	33,676	2%	6%	5%
Non-controlling interest	(126)	(118)	(124)				(171)	(99)	(101)	(35%)	16%	19%
Preferred shareholders	(1,279)	(1,263)	(1,252)				(1,199)	(1,211)	(1,223)	6%	4%	2%
Net profit/(loss) to ordinary shareholders	28,054	32,279	34,178				27,446	30,420	32,352	2%	6%	5%
P&L (Notable items, US\$m)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Banking Nil	-	-	-	-	-	-	-	-	-	-	-	-
Fee and other income	(200)	275	(175)	(588)	(49)	(51)	(588)	(49)	(51)	(194%)	118%	71%
Total revenue	(200)	275	(175)	(588)	(49)	(51)	(588)	(49)	(51)	(194%)	118%	71%
Change in ECL and other impairments	-	-	-	-	-	-	-	-	-	-	-	-
Total operating expenses	(983)	(527)	(527)	(1,054)	(352)	(281)	(1,054)	(352)	(281)	(7%)	33%	47%
Profit in associates and JVs net of impairment	-	-	-	-	-	-	-	-	-	-	-	-
Profit/(loss) before tax	(1,183)	(252)	(702)	(1,642)	(401)	(332)	(1,642)	(401)	(332)	(39%)	(59%)	53%
P&L (Adjusted, US\$m)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Banking Nil	46,494	48,459	49,793	45,826	47,151	48,611				1%	3%	2%
Fee and other income	27,842	30,258	32,395	28,044	29,717	31,654				(1%)	2%	2%
Total revenue	74,336	78,716	82,188	73,870	76,868	80,265				1%	2%	2%
Change in ECL and other impairments	(4,525)	(4,011)	(4,112)	(4,223)	(3,967)	(4,030)				7%	1%	2%
Total operating expenses	(34,337)	(35,019)	(35,617)	(34,046)	(34,960)	(35,967)				1%	0%	(1%)
Profit in associates and JVs net of impairment	2,822	2,879	2,937	2,734	2,818	2,886				3%	2%	2%
Profit/(loss) before tax	38,297	42,565	45,396	38,335	40,759	43,154				(0%)	4%	5%
Key metrics (US\$)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Loans and advances to customers (net, bn)	1,037	1,077	1,113	1,019	1,052	1,087				2%	2%	2%
RWAs (bn)	917	948	980	912	940	968				1%	1%	1%
CET1 ratio	14.0%	14.1%	14.3%	14.2%	14.3%	14.4%						
EPS - Reported inc AT1	1.64	1.94	2.12	1.61	1.83	2.02				2%	6%	5%
Cost of risk	(45)	(38)	(38)	(42)	(38)	(38)						
ROTE - Reported inc AT1	17.3%	18.9%	19.1%	16.7%	17.8%	18.3%						
ROTE - Adjusted inc AT1	18.3%	19.0%	19.4%	17.5%	17.9%	18.3%						
DPS (total)	0.87	0.98	1.08	0.83	0.92	1.01				4%	6%	6%
TBVps	9.73	10.54	11.42	9.95	10.64	11.41				(2%)	(1%)	0%
Average basic shares outstanding (m)	17,026	16,522	15,998	17,010	16,610	16,070				0%	(1%)	(0%)
Buybacks (m)	7,000	9,500	9,500	5,429	9,438	10,578				22%	1%	(11%)

Source: Pre Q1'26 company-compiled consensus, VisibleAlpha, RBC Capital Markets estimates.

Valuation - SOTP

Exhibit 5 - HSBC - Sum of the parts valuation

DIVISIONAL	Inputs					Residual Income Method				
	Net profit	Adj's RWAs	CET1 Target	Capital Allocation	Shares	ROE	COE	P/B	Implied P/E	Valuation (£m)
2027 SOTP (Adj, \$m)									Growth (g)	Value Per share (p)
Hong Kong	9,393	140,486		20,019		46.9%	10.5%	4.47x	9.2x	86,682
UK	5,916	168,587		24,024		24.6%	10.0%	2.46x	7.4x	43,742
Corporate & Institutional Banking	11,054	455,447		64,901		17.0%	13.0%	1.31x	6.1x	67,337
International Wealth & Premier Banking (inc Corporate Centre	4,729	97,509		13,895		34.0%	11.5%	2.96x	6.4x	30,407
	1,386	86,454		12,320		11.3%		0.96x	6.3x	8,722
Total	32,479	948,483	14.25%	135,159	16,651					
Valuation							11.8%			236,889
									1.9%	1,423
										1,275

Source: RBC Capital Markets estimates

Sensitivity analysis



Exhibit 6 - HSBC - Sensitivity analysis

	Lower rates (25bps)	Loan growth (1%)	Fee growth (1%)	Cost growth +1%	Cost of risk +10%	FICC rev (10%)	Equities rev (10%)	IB fees (10%)	AM & WM rev (10%)
Impact (FY26E)									
% of Net Profit	(2.3%)	(0.6%)	(0.7%)	(0.9%)	(1.2%)			(0.3%)	(2.8%)
ROTE	(77bps)	(50bps)	(52bps)	(54bps)	(60bps)			(44bps)	(0bps)
CET1 ratio	(7bps)	11bps	(2bps)	(3bps)	(4bps)			(1bps)	(0bps)

Source: RBC Capital Markets estimates



Exhibit 7 - HSBC - Summary

HSBC (HSBA): Summary of financials

Chairman: Brendan Nelson

CEO: Georges Elhedery

CFO: Pam Kaur

Share price (GBP):	1,339				
Year end:	December				
GBP/USD	0.74				
P&L (adj \$m)	2024	2025	2026E	2027E	2028E
Total revenue	67,434	71,020	74,837	78,716	82,188
Change in ECL and other impairments	(3,414)	(3,850)	(4,525)	(4,011)	(4,112)
Net operating income	64,020	67,170	70,313	74,705	78,076
Total operating expenses	(32,810)	(33,464)	(34,337)	(35,019)	(35,617)
Operating profit	31,210	33,706	35,976	39,686	42,459
Profit in associates & JVs	2,912	2,911	2,822	2,879	2,937
Profit/(loss) before tax	34,122	36,617	38,798	42,565	45,396
Profit/(loss) before tax (reported)	32,309	29,907	37,114	42,313	44,694
Net attributable profit (inc AT1)	24,730	27,812	29,530	32,479	34,734
Net attributable profit (reported)	22,917	21,102	28,054	32,279	34,178
Shares outstanding y/e (m)	18,497	17,577	17,155	16,651	16,127
EPS (inc AT1)	1.34	1.58	1.72	1.95	2.15
EPS (reported)	1.24	1.20	1.64	1.94	2.12
RATIOS / GROWTH RATES	2024	2025	2026E	2027E	2028E
Net interest margin (avg assets) %	1.08	1.11	1.13	1.15	1.17
Cost income ratio (adj) %	49	47	46	44	43
NPL cost of risk %	0.37	0.40	0.45	0.38	0.38
Tax rate %	21	19	20	20	20
Net interest income growth %	(9)	6	7	5	3
Revenue growth %	3	5	5	5	4
Cost growth %	3	2	3	2	2
Pre provision profit growth %	3	8	7	10	7
EPS (adj) growth %	4	18	9	13	10
TBVps growth %	5	11	3	8	8

BALANCE SHEET (\$m)	2024	2025	2026E	2027E	2028E
Stated equity	165,903	177,509	177,888	186,445	195,041
Tangible equity	154,295	165,153	165,615	174,172	182,768
BVps	9.2	10.2	10.4	11.3	12.2
TBVps	8.6	9.5	9.7	10.5	11.4
Assets	3,017,048	3,233,034	3,376,516	3,448,565	3,520,713
Customer loans (net)	930,658	988,399	1,037,410	1,076,885	1,113,256
Loan growth %	(1)	6	5	4	3
Customer deposits	1,654,955	1,786,828	1,850,678	1,932,296	2,005,148
Deposit growth %	3	8	4	4	4

SOLVENCY (\$m)	2024	2025	2026E	2027E	2028E
CET 1 capital	124,911	132,593	128,503	134,132	140,127
Tier 1 capital	144,127	153,397	150,658	156,287	162,282
RWA	838,254	888,647	917,266	948,483	979,921
Leverage exposure	2,573,696	2,894,283			
Core tier 1 ratio %	14.9	14.9	14.0	14.1	14.3
Tier 1 ratio %	17.2	17.3	16.4	16.5	16.6

Tier 1 leverage ratio %					
Dividends (cash)	12,043	12,971	14,765	16,240	17,367
Dividends (scrip)	0	0	0	0	0
Dividends (special)	3,985	0	0	0	0
Share buybacks	11,000	6,000	7,000	9,500	9,500
Total shareholder return	27,028	18,971	21,765	25,740	26,867
Dividend payout ratio %	70	62	50	50	50
Total payout ratio %	118	91	75	79	78
Capital generation (adj as % of RWA)	3.9	4.0	4.1	4.4	4.5
CET1 requirement %	11.1	11.1	11.1	11.1	11.1
Management target %	14-14.5	14-14.5	14-14.5	14-14.5	14-14.5

UK Banks

Benjamin Toms

+44 (0) 20 7002 2258

benjamin.toms@rbccm.com

Pablo de la Torre Cuevas

+44 (0) 20 7653 4553

pablo.delatorrecuevas@rbccm.com

Sherry Lin

+44 (0) 20 7653 4002

sherry.lin@rbccm.com

Market cap (£m)	230,088					Stock exchange
						London Stock Exchange
						Hong Kong Stock Exchange
KEY VALUATION PARAMETERS	2024	2025	2026E	2027E	2028E	
EPS (adj inc AT1)	1.34	1.58	1.72	1.95	2.15	
EPS (reported)	1.24	1.20	1.64	1.94	2.12	
Pre provision profit ps	1.69	1.92	2.10	2.38	2.63	
BVps	9.20	10.19	10.45	11.28	12.19	
TBVps	8.55	9.48	9.73	10.54	11.42	
ROE (adj inc AT1) %	14.8	16.2	16.6	17.8	18.2	
ROE (reported) %	14.4	13.0	16.5	18.4	18.6	
ROTE (adj inc AT1) %	15.7	17.4	18.3	19.0	19.4	
ROTE (rep inc AT1) %	14.6	13.2	17.3	18.9	19.1	
Ordinary DPS	0.66	0.75	0.87	0.98	1.08	
Total shareholder return ps	1.46	1.09	1.28	1.55	1.67	

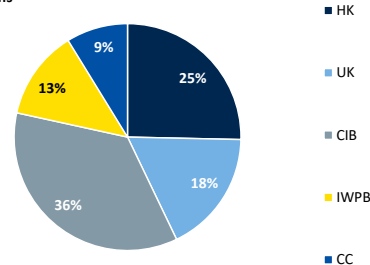
CONSENSUS	2024	2025	2026E	2027E	2028E
EPS (rep inc AT1)			1.61	1.83	2.02
RBC vs consensus %			2	6	5
DPS			0.83	0.92	1.01
RBC vs consensus %			5	6	7

VALUATION MULTIPLES	2024	2025	2026E	2027E	2028E
P/E (adj)		11.4x	10.5x	9.3x	8.4x
P/E (reported)		15.1x	11.1x	9.3x	8.5x
P/ pre provision profit		9.4x	8.6x	7.6x	6.9x
P/BV		1.78	1.73	1.60	1.49
P/TBV		1.91	1.86	1.72	1.59
Dividend yield %		4.1	4.8	5.4	5.9
Total return yield %		6.0	7.0	8.5	9.2

VALUATION	2024	2025	2026E	2027E	2028E
ROTE (adj inc AT1) %			18.3	19.0	19.4
TBVps			9.7	10.5	11.4
COE %			11.8	11.8	11.8
Growth rate %			3.0%	3.0%	3.0%
Linear model			1,110	1,121	1,106
Growth model			1,111	1,122	1,107
Dividend discount model			664	731	788
Sum of the parts				1,275	
Price target				1,275	
Implied % upside/ (downside)				-5	

KEY CHARTS (2025A)

Adj PBT split by divisions



POTENTIAL CATALYSTS

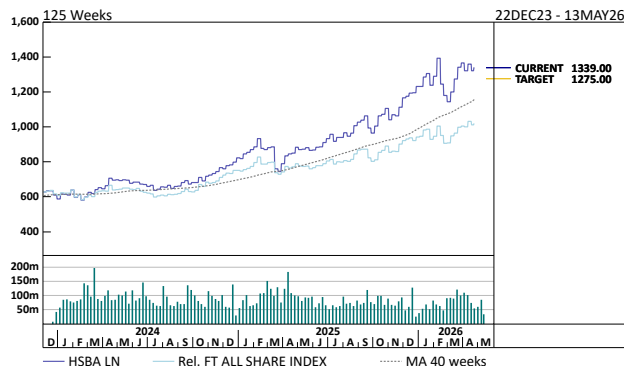
Q2'26 Results - 4th August 2026

For RBC Capital Markets European Banks valuation comparatives, recent research, and other data please see [RBC Insight](#) or Bloomberg <RBCR> GO
Source: RBC Capital Markets estimates, Company Reports, Bloomberg, Visible Alpha (priced at 16:30 GMT, 13th May 2026)



Target/Upside/Downside Scenarios

HSBC Holdings plc



Source: Bloomberg and RBC Capital Markets estimates for Target

Valuation

We value HSBC using a SOTP model by division based on our 2027 estimates discounted back one year to 2026E at a cost of equity of 11.8%, and using a return on allocated capital for each division. Our 1,275p price target supports our Sector Perform rating.

Upside scenario

Our upside scenario of 1,550p assumes lower than through-the-cycle cost of risk levels and c.25bps higher Group NIM in 2027 than we are currently modelling.

Downside scenario

Our downside scenario of 1,050p assumes a significant headwind to loan growth, cost of risk in 2027 above through-the-cycle levels, as well as an increase in cost of equity of 2ppts.

Investment summary

HSBC is a well diversified bank, delivering an attractive ROTE and shareholder returns. The bank has been successful at restructuring and simplifying the business over the last 5yrs, and we think that there is more to go.

Asian wealth is a key growth area for HSBC which should continue to grow other income over the medium term. East vs West tensions are not as elevated as they have been. However, we believe all of the above factors are well reflected in the bank's current valuation, and we see more upside elsewhere.

Risks to rating and price target

The most significant risks to our rating and price target are:

- Rate cuts across the bank's core geographies, especially weakness in HIBOR.
- A further deterioration in Asian Commercial Real Estate.
- Large one off write offs of corporate exposures.
- Big tickets conduct and litigation items.
- The Chinese government targeting banks as part of its drive for common prosperity.
- Lower-than-expected avg. GDP growth, particularly in Asia.
- Madoff litigation.



Company description

HSBC is one of the World's largest financial institutions, headquartered in London, with the majority of its business in Asia. It is a universal bank offering retail, commercial, wealth management, and investment banking services in more than 60 countries across the world.

Required disclosures

Non-U.S. analyst disclosure

One or more research analysts involved in the preparation of this report (i) may not be registered/qualified as research analysts with the NYSE and/or FINRA and (ii) may not be associated persons of the RBC Capital Markets, LLC and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Conflicts disclosures

The analyst(s) responsible for preparing this research report received compensation that is based upon various factors, including total revenues of the member companies of RBC Capital Markets and its affiliates, a portion of which are or have been generated by investment banking activities of the member companies of RBC Capital Markets and its affiliates.

With regard to the MAR investment recommendation requirements in relation to relevant securities, a member company of Royal Bank of Canada, together with its affiliates, may have a net long or short financial interest in excess of 0.5% of the total issued share capital of the entities mentioned in the investment recommendation. Information relating to this is available upon request from your RBC investment advisor or institutional salesperson.

Please note that current conflicts disclosures may differ from those as of the publication date on, and as set forth in, this report. To access current conflicts disclosures, clients should refer to <https://www.rbccm.com/GLDisclosure/PublicWeb/DisclosureLookup.aspx?entityId=1> or send a request to RBC CM Research Publishing, P.O. Box 50, 200 Bay Street, Royal Bank Plaza, 29th Floor, South Tower, Toronto, Ontario M5J 2W7.

A member company of RBC Capital Markets or one of its affiliates received compensation for investment banking services from HSBC Holdings plc in the past 12 months.

A member company of RBC Capital Markets or one of its affiliates managed or co-managed a public offering of securities for HSBC Holdings plc in the past 12 months.

A member company of RBC Capital Markets or one of its affiliates received compensation for products or services other than investment banking services from HSBC Holdings plc during the past 12 months. During this time, a member company of RBC Capital Markets or one of its affiliates provided non-securities services to HSBC Holdings plc.

RBC Capital Markets has provided HSBC Holdings plc with non-securities services in the past 12 months.

RBC Capital Markets, LLC makes a market in the securities of HSBC Holdings plc.

A member company of RBC Capital Markets or one of its affiliates received compensation for products or services other than investment banking services from HSBC Holdings plc during the past 12 months. During this time, a member company of RBC Capital Markets or one of its affiliates provided non-investment banking securities-related services to HSBC Holdings plc.

RBC Capital Markets has provided HSBC Holdings plc with non-investment banking securities-related services in the past 12 months.

A member company of RBC Capital Markets or one of its affiliates expects to receive or intends to seek compensation for investment banking services from HSBC Holdings plc in the next three months.

Explanation of RBC Capital Markets Equity rating system

An analyst's 'sector' is the universe of companies for which the analyst provides research coverage. Accordingly, the rating assigned to a particular stock represents solely the analyst's view of how that stock will perform over the next 12 months relative to the analyst's sector average.

Ratings



Outperform (O): Expected to materially outperform sector average over 12 months.

Sector Perform (SP): Returns expected to be in line with sector average over 12 months.

Underperform (U): Returns expected to be materially below sector average over 12 months.

Restricted (R): RBC policy precludes certain types of communications, including an investment recommendation, when RBC is acting as an advisor in certain merger or other strategic transactions and in certain other circumstances.

Not Rated (NR): The rating, price targets and estimates have been removed due to applicable legal, regulatory or policy constraints which may include when RBC Capital Markets is acting in an advisory capacity involving the company.

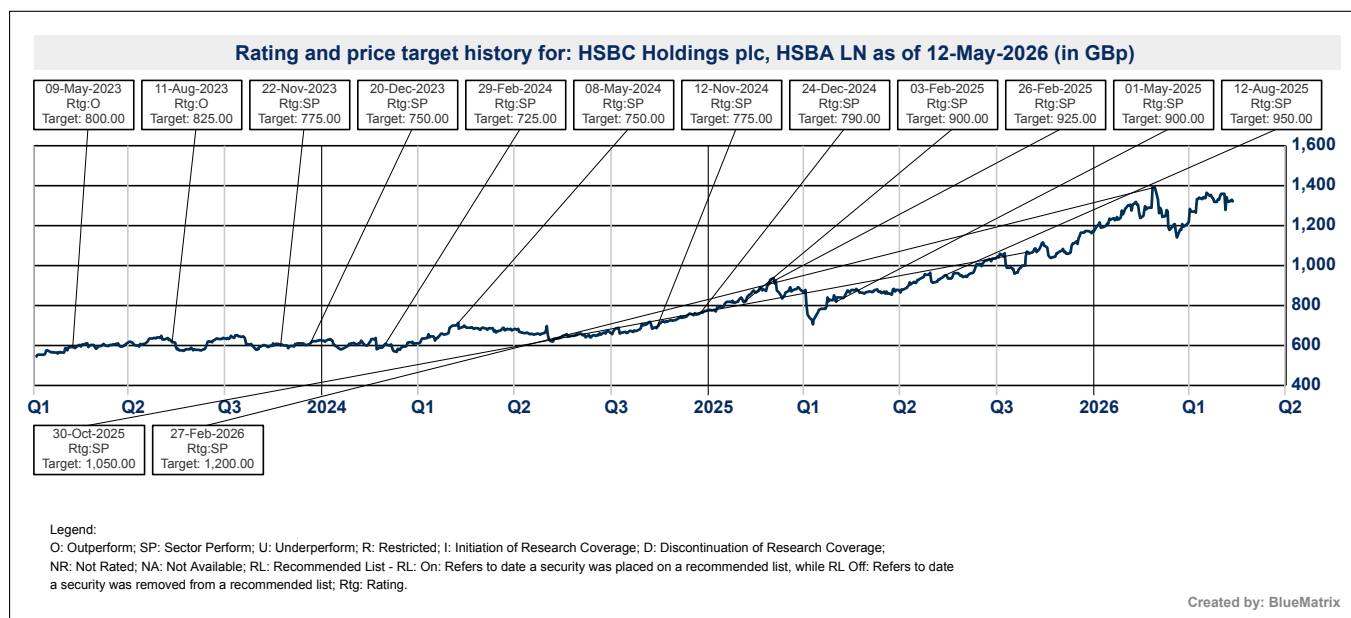
Risk Rating

The **Speculative** risk rating reflects a security's lower level of financial or operating predictability, illiquid share trading volumes, high balance sheet leverage, or limited operating history that result in a higher expectation of financial and/or stock price volatility.

Distribution of ratings

For the purpose of ratings distributions, regulatory rules require member firms to assign ratings to one of three rating categories - Buy, Hold/Neutral, or Sell - regardless of a firm's own rating categories. Although RBC Capital Markets' ratings of Outperform (O), Sector Perform (SP), and Underperform (U) most closely correspond to Buy, Hold/Neutral and Sell, respectively, the meanings are not the same because our ratings are determined on a relative basis.

Distribution of ratings				
RBC Capital Markets, Equity Research				
As of 31-Mar-2026				
Rating	Count	Percent	Investment Banking	
			Serv./Past 12 Mos.	
			Count	Percent
BUY [Outperform]	899	57.52	286	31.81
HOLD [Sector Perform]	612	39.16	153	25.00
SELL [Underperform]	52	3.33	5	9.62



References to a Recommended List in the recommendation history chart may include one or more recommended lists or model portfolios maintained by RBC Wealth Management or one of its affiliates. RBC Wealth Management recommended lists include the Guided Portfolio: Prime Income (RL 6), the Guided Portfolio: Dividend Growth (RL 8), the Guided Portfolio: ADR (RL 10), and the Guided Portfolio: All Cap Growth (RL 12). The abbreviation 'RL On' means the date a security was placed on a Recommended List. The abbreviation 'RL Off' means the date a security was removed from a Recommended List. As of April 3, 2023, U.S. RBC



Wealth Management's quarterly reports will serve as the primary communication for its models and will highlight any changes to the model made during the quarter.

Equity valuation and risks

For valuation methods used to determine, and risks that may impede achievement of, price targets for covered companies, please see the most recent company-specific research report at www.rbcinsightresearch.com or send a request to RBC Capital Markets Research Publishing, P.O. Box 50, 200 Bay Street, Royal Bank Plaza, 29th Floor, South Tower, Toronto, Ontario M5J 2W7.

HSBC Holdings plc

Valuation

We value HSBC using a SOTP model by division based on our 2027 estimates discounted back one year to 2026E at a cost of equity of 11.8%, and using a return on allocated capital for each division. Our 1,275p price target supports our Sector Perform rating.

Risks to rating and price target

The most significant risks to our rating and price target are:

- Rate cuts across the bank's core geographies, especially weakness in HIBOR.
- A further deterioration in Asian Commercial Real Estate.
- Large one off write offs of corporate exposures.
- Big tickets conduct and litigation items.
- The Chinese government targeting banks as part of its drive for common prosperity.
- Lower-than-expected avg. GDP growth, particularly in Asia.
- Madoff litigation.

Conflicts policy

RBC Capital Markets Policy for Managing Conflicts of Interest in Relation to Investment Research is available from us on request. To access our current policy, clients should refer to

<https://www.rbccm.com/global/file-414164.pdf>

or send a request to RBC Capital Markets Research Publishing, P.O. Box 50, 200 Bay Street, Royal Bank Plaza, 29th Floor, South Tower, Toronto, Ontario M5J 2W7. We reserve the right to amend or supplement this policy at any time.

Dissemination of research

RBC Capital Markets endeavors to make all reasonable efforts to provide research content simultaneously to all eligible clients, having regard to local time zones in overseas jurisdictions. RBC Capital Markets provides eligible clients with access to Research Reports on the Firm's proprietary INSIGHT website, via email and via third-party vendors. Please contact your investment advisor or institutional salesperson for more information regarding RBC Capital Markets' research.

For a list of all recommendations on the company that were disseminated during the prior 12-month period, please click on the following link: <https://rbcnew.bluematrix.com/sellside/MAR.action>

The 12 month history of Quick Takes can be viewed at [RBC Insight](#).

Analyst certification

All of the views expressed in this report accurately reflect the personal views of the responsible analyst(s) about any and all of the subject securities or issuers. No part of the compensation of the responsible analyst(s) named herein is, or will be, directly or indirectly, related to the specific recommendations or views expressed by the responsible analyst(s) in this report.

Third-party disclaimers

The Global Industry Classification Standard ("GICS") was developed by and is the exclusive property and a service mark of MSCI Inc. ("MSCI") and Standard & Poor's Financial Services LLC ("S&P") and is licensed for use by RBC. Neither MSCI, S&P, nor any other party involved in making or compiling the GICS or any GICS classifications makes any express or implied warranties or representations with respect to such standard or classification (or the results to be obtained by the use thereof), and all such parties hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability and fitness for a particular purpose with respect to any of such standard or classification. Without limiting any of the foregoing, in no event shall MSCI, S&P, any of their affiliates or any third party involved in making or compiling the GICS or any GICS classifications have any liability for any direct, indirect, special, punitive, consequential or any other damages (including lost profits) even if notified of the possibility of such damages.

RBC Capital Markets disclaims all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any statements made to the media or via social media that are in turn quoted in this report, or otherwise reproduced graphically for informational purposes.



Disclaimer

RBC Capital Markets is the business name used by certain branches and subsidiaries of the Royal Bank of Canada, including RBC Dominion Securities Inc., RBC Capital Markets, LLC, RBC Europe Limited, RBC Capital Markets (Europe) GmbH, Royal Bank of Canada, Hong Kong Branch, Royal Bank of Canada, Singapore Branch and Royal Bank of Canada, Sydney Branch. The information contained in this report has been compiled by RBC Capital Markets from sources believed to be reliable, but no representation or warranty, express or implied, is made by Royal Bank of Canada, RBC Capital Markets, its affiliates or any other person as to its accuracy, completeness or correctness. All opinions and estimates contained in this report constitute RBC Capital Markets' judgement as of the date of this report, are subject to change without notice and are provided in good faith but without legal responsibility. Nothing in this report constitutes legal, accounting or tax advice or individually tailored investment advice. This material is prepared for general circulation to clients and has been prepared without regard to the individual financial circumstances and objectives of persons who receive it. The investments or services contained in this report may not be suitable for you and it is recommended that you consult an independent investment advisor if you are in doubt about the suitability of such investments or services. This report is not an offer to sell or a solicitation of an offer to buy any securities. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. RBC Capital Markets research analyst compensation is based in part on the overall profitability of RBC Capital Markets, which includes profits attributable to investment banking revenues. Every province in Canada, state in the U.S., and most countries throughout the world have their own laws regulating the types of securities and other investment products which may be offered to their residents, as well as the process for doing so. As a result, the securities discussed in this report may not be eligible for sale in some jurisdictions. RBC Capital Markets may be restricted from publishing research reports, from time to time, due to regulatory restrictions and/or internal compliance policies. If this is the case, the latest published research reports available to clients may not reflect recent material changes in the applicable industry and/or applicable subject companies. RBC Capital Markets research reports are current only as of the date set forth on the research reports. This report is not, and under no circumstances should be construed as, a solicitation to act as securities broker or dealer in any jurisdiction by any person or company that is not legally permitted to carry on the business of a securities broker or dealer in that jurisdiction. To the full extent permitted by law neither RBC Capital Markets nor any of its affiliates, nor any other person, accepts any liability whatsoever for any direct, indirect or consequential loss arising from, or in connection with, any use of this report or the information contained herein. No matter contained in this document may be reproduced or copied by any means without the prior written consent of RBC Capital Markets in each instance.

Additional information is available on request.

To U.S. Residents:

This publication has been approved by RBC Capital Markets, LLC (member FINRA, NYSE, SIPC), which is a U.S. registered broker-dealer and which accepts responsibility for this report and its dissemination in the United States. Any U.S. recipient of this report that is not a registered broker-dealer or a bank acting in a broker or dealer capacity and that wishes further information regarding, or to effect any transaction in, any of the securities discussed in this report, should contact and place orders with RBC Capital Markets, LLC.

To Canadian Residents:

This publication has been approved by RBC Dominion Securities Inc.(member CIRO). Any Canadian recipient of this report that is not a Designated Institution in Ontario, an Accredited Investor in British Columbia or Alberta or a Sophisticated Purchaser in Quebec (or similar permitted purchaser in any other province) and that wishes further information regarding, or to effect any transaction in, any of the securities discussed in this report should contact and place orders with RBC Dominion Securities Inc., which, without in any way limiting the foregoing, accepts responsibility for this report and its dissemination in Canada.

To U.K. Residents:

This publication has been approved by RBC Europe Limited ('RBCEL') which is authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority ('FCA') and the Prudential Regulation Authority, in connection with its distribution in the United Kingdom. This material is not for general distribution in the United Kingdom to retail clients, as defined under the rules of the FCA. RBCEL accepts responsibility for this report and its dissemination in the United Kingdom.

To EEA Residents:

This material is distributed in the EU by either RBCEL on an authorised cross-border basis, or by RBC Capital Markets (Europe) GmbH (RBC EG) which is authorised and regulated in Germany by the Bundesanstalt für Finanzdienstleistungsaufsicht (German Federal Financial Supervisory Authority) (BaFin).

To Persons Receiving This Advice in Australia:

This material has been distributed in Australia by Royal Bank of Canada, Sydney Branch (ABN 86 076 940 880, AFSL No. 246521). This material has been prepared for general circulation and does not take into account the objectives, financial situation or needs of any recipient. Accordingly, any recipient should, before acting on this material, consider the appropriateness of this material having regard to their objectives, financial situation and needs. If this material relates to the acquisition or possible acquisition of a particular financial product, a recipient in Australia should obtain any relevant disclosure document prepared in respect of that product and consider that document before making any decision about whether to acquire the product. This research report is not for retail investors as defined in section 761G of the Corporations Act.

To persons receiving this from Royal Bank of Canada, Hong Kong Branch:

This document is distributed in Hong Kong by Royal Bank of Canada, Hong Kong Branch which is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission. This document is not for distribution in Hong Kong, to investors who are not "professional investors", as defined in the Securities and Futures Ordinance (Cap. 571 of Hong Kong) and any rules made under that Ordinance. This document has been prepared for general circulation and does not take into account the objectives, financial situation, or needs of any recipient. Past performance is not indicative of future performance. WARNING: The contents of this document have not been reviewed by any regulatory authority in Hong Kong. Investors are advised to exercise caution in relation to the investment. If you are in doubt about any of the contents of this document, you should obtain independent professional advice.

To persons receiving this from Royal Bank of Canada, Singapore Branch:

This publication is distributed in Singapore by the Royal Bank of Canada, Singapore Branch, a registered entity licensed by the Monetary Authority of Singapore. This publication is not for distribution in Singapore, to investors who are not "accredited investors" and "institutional investors", as defined in the Securities and Futures Act 2001 of Singapore. This publication has been prepared for general circulation and does not take into account the objectives, financial situation, or needs of any recipient. You are advised to seek independent advice from a financial adviser before purchasing any product. If you do not obtain independent advice, you should consider whether the product is suitable for you. Past performance is not indicative of future performance. If you have any questions related to this publication, please contact the Royal Bank of Canada, Singapore Branch.

To Japanese Residents:



Unless otherwise exempted by Japanese law, this publication is distributed in Japan by or through RBC Capital Markets (Japan) Ltd. which is a Financial Instruments Firm registered with the Kanto Local Financial Bureau (Registered number 203) and a member of the Japan Securities Dealers Association (JSDA) and the Financial Futures Association of Japan (FFAJ).

® Registered trademark of Royal Bank of Canada. RBC Capital Markets is a trademark of Royal Bank of Canada. Used under license.

Copyright © RBC Capital Markets, LLC 2026 - Member SIPC

Copyright © RBC Dominion Securities Inc. 2026 - Member Canadian Investor Protection Fund

Copyright © RBC Europe Limited 2026

Copyright © Royal Bank of Canada 2026

All rights reserved